higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

# MARKING GUIDELINE

## NATIONAL CERTIFICATE (VOCATIONAL)

## FINANCIAL MANAGEMENT
## NQF LEVEL 4

## 15 MARCH 2019

**This marking guideline consists of 9 pages.**

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## SECTION A

## QUESTION 1

| | | | | |
|---|---|---|---|---|
| 1.1 | 1.1.1 | A | | |
| | 1.1.2 | D | | |
| | 1.1.3 | A | | |
| | 1.1.4 | D | | |
| | 1.1.5 | B | | |
| | 1.1.6 | A | | |
| | 1.1.7 | D | | |
| | 1.1.8 | B | | |
| | 1.1.9 | C | | |
| | 1.1.10 | B | (10 × 1) | (10) |
| 1.2 | 1.2.1 | Fixed costs: 4 000 ✓+5 000✓+ 300✓+11 000✓= 20 300 | | (4) |
| | 1.2.2 | Variable costs: 1 200 ✓+ 250 ✓ + 2 200✓ + 1 800✓ = 5 450 | | (4) |
| | 1.2.3 | Direct cost- are costs that can be attributed or linked✓ to the production✓ of finished goods. Costs incurred for items that can be seen in the finished goods. | | (2) |
| | | Indirect cost- are costs that are incurred during production but cannot be directly linked✓ to the finished goods✓ - not directly accountable to a cost object. (OR similar) | | (2) |
| 1.3 | 1.3.1 | H | | |
| | 1.3.2 | E | | |
| | 1.3.3 | F | | |
| | 1.3.4 | C | | |
| | 1.3.5 | B | (5 × 1) | (5) |
| 1.4 | 1.4.1 | R8 000✓ | | |
| | 1.4.2 | R266 000✓ | | |
| | 1.4.3 | R404 000✓ – R689 272✓ = (R285 272) | | |
| | 1.4.4 | R6 000✓ | | |
| | 1.4.5 | R28 000✓ (rent is a fixed cost and remains unchanged) | | |
| | 1.4.6 | R153 000✓ × 95%✓ = R145 350<br>OR<br>R153 000 x 5% = R7 650<br>= R153 000 – R7 650<br>= R145 350 | | (8) |
| | | | | **[35]** |

**TOTAL SECTION A: 35**

## SECTION B

## QUESTION 2

2.1
- Executive summary – an overview of what the business plan is about and what the strategy of success is
- Business overview – provides a description of the business and its products or services
- The market – provides a description of the industry your business will be part of and the people who will buy your product
- Company management – is a description of who owns and manages the business as well as how the management is structured
- Sales and marketing strategy – focuses on the customers' needs and preferences in order to work out how to target the market that they want to buy their products
- Financial statements and projections – provide a summary of the financial statements and projections such as balance sheet, cash flow, income statements and budgets

***(ONE mark for any 4 components and ONE mark for each description)***

(Any 4 relevant × 2) (8)

2.2
- Printing paper
- Telephone (Any 2 relevant × 1) (2)

2.3 2.3.1 R50 000/5 = R10 000 year 1
R10 000 × 2 = R20 000 year 2
R50 000✓ – 20 000✓ = R30 000✓ the principal amount (3)

2.3.2 50000/5 R10 000 per annum

| | |
|---|---|
| Y1 – R50 000 × 8% | = R4 000✓ |
| Y2 – (R40 000 – R10 000) × 8% | = R3 200✓ |
| Y3 – (R30 000- R10 000) × 8% | = R2 400✓ |
| TOTAL INTEREST AFTER 3 YEARS | = R9 600 |

(3)

2.3.3
- Business registration
- Proof of residence
- ID documents
- Business plan (Any 2 relevant × 1) (2)

2.3.4 Long-term finance (1)

2.4 2.4.1 R2 500 ✓ x 24✓ = R60 000 (2)

2.4.2
- There is no lender's agreement.
- The loan is payable in fixed instalments for a period of two years.
- The uncle might be very patient and lenient regarding repayment.
- There is no collateral or security required. (Any relevant 2 × 2)

(4)

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2.4.3
- Easy setup.
- Unlimited liability
- The owner enjoys all the profits of the business or has to bear the total loss of the business
- Limited life, the business will dissolve by death, insolvency or withdrawal of a partner.
- Capital is limited to that which the owner contributes.

(Any relevant 3 × 1) (3)

2.5
- UIF
- Skills development levy
- Income tax
- VAT returns
- PAYE

(Any relevant 2 × 1) (2)

2.6 2.6.1 R50✓ – 25✓ = R25 (2)

2.6.2

| | |
|---|---|
| Variable cost (35✓ x R25) ✓ | R875 |
| Fixed cost | R500✓ |
| Total cost | R1 375 |

(3)

2.6.3 Break-even quantity = $\frac{\text{FC}}{\text{Contribution per unit}✓}$

$= \frac{500✓}{(50 - 25)✓}$

$= \frac{500}{25}$

= 20 units (3)

2.6.4 30✓ × R25 ✓= R750 (2)

2.6.5 35✓ × R50 ✓= R1 750 (2)

2.6.6

| | |
|---|---|
| Variable cost (0✓ x R25) ✓ | R0 |
| Fixed cost | R500✓ |
| Total cost | R500 |

(3)
**[45]**

## QUESTION 3

3.1 3.1.1

(a) Vehicle A

R90 000
-R30 000 Y1✓
R60 000
-R30 000 Y2✓
R30 000
-R30 000 Y3✓
0

Vehicle A = 3 years✓

(b) Vehicle B

R90 000
-R20 000 Y1✓
R70 000
-R20 000 Y2✓
R50 000
-R20 000 Y3✓
R30 000
-R30 000 Y4
0

Vehicle B = 4 years✓ (8)

3.1.2 Vehicle A should be bought. (1)

Motivation: The cash generated by Vehicle A will enable the business to recover its investment✓ within a shorter period✓ than Vehicle B. ***or similar*** (2)

3.2
- It does not consider the time value of money. Cash flows received during the early years of a project get a higher weight than cash flows received in later years. Two projects could have the same payback period, but one project generates more cash flow in the early years, whereas the other project has higher cash flows in the later years. In this instance, the payback method does not provide a clear determination as to which project to select.
- Neglects cash flows received after payback period For some projects, the largest cash flows may not occur until after the payback period has ended. These projects could have higher returns on investment and may be preferable to projects that have shorter payback times.
- Ignores a project's profitability: Just because a project has a short payback period does not mean that it is profitable. If the cash flows end at the payback period or are drastically reduced, a project might never return a profit and therefore, it would be an unwise investment.

(Any relevant 1 × 2) (2)

3.3
- Assists in monitoring the actual performance of your business against the objectives and financial statements included in your business plan.
- Identifies factors that are not occurring in line with your original business plan.
- Highlights specific operational areas where you should take action to correct the progression of your business.
- Ensures that the business is successful and profitable.

(Any relevant 2 × 1) (2)

3.4
- Have a clear procedure for granting credit to minimise bad debts.
- Send out statements on time
- Call debtors to remind them of their payments
- Charge interest on overdue accounts
- Hand over overdue debts to attorneys
- Keep a debtors diary/record for all invoices sent to customers.
- Offer early payments discounts, to encourage early payments.

(Any relevant 3 × 2) (6)

3.5 3.5.1 R775 000✓ – R725 000✓ = R50 000
Favourable✓ (3)

3.5.2 R13 450✓ – R14 273✓ = R823 unfavourable (2)

- Increase in the rates of electricity by the municipality
- Wastage of electricity by the business (Any relevant 1 × 1) (1)

3.5.3
- Advertising
- Interest on loan
- Repairs (Any 2 × 1) (2)

3.5.4 R52 500✓ × 108%✓ = R56 700✓ (3)

3.6 Strengths
- The knowledge gathered by the owners of Dibadintle Bookkeepers in the finance and accounting field.
- The fees that are charged by Dibadintle Bookkeepers are reasonable especially for small businesses.
- Dibadintle Bookkeepers has identified the need in the market of small businesses for bookkeeping assistance. (Any relevant 2 × 2) (4)

Weaknesses
- The lack of finance of Dibadintle Bookkeepers
- New competitors may enter the market with different ideas and approaches which Dibadintle Bookkeepers are not aware of.
- Bigger companies offering bookkeeping and accounting services may want to take over Dibadintle Bookkeepers' clients. (Any relevant 2 × 2) (4)

**[40]**

## QUESTION 4

4.1 It is applied when a budget is drafted in the business and it is assumed that all costs are zero✓ for the upcoming period. Each manager must provide a justification✓ for each expense that they want to include in the budget.
(Or similar)(1 × 2) (2)

4.2
- If a percentage is added across the board, this may lead to an increase in overall costs, even though the expense item may not be increasing in the next year or may not even be needed in the next year.
- Since budget allocated are more or less the same over years, it turns the business to run into conservative mode as departments or units who wish to take larger risks may not be made required the funding available.
- Encourages higher spending to obtain favourable variances.
- Lack of innovation and no cost reduction for managers.

(Any relevant 2 × 2) (4)

4.3
- Lack of finance by the business
- Untrained employees
- Shortage of workers
- Lack of storage space
- Out-dated machinery that cannot cope with production levels
- Limited premises for production levels (Any 4 × 1) (4)

4.4
- The owners of the business
- Lediba's uncle (investors)
- Finance department or accountant (Any relevant 2 × 2) (4)

4.5 4.5.1 $\frac{\text{Net Profit}}{\text{Sales}} \times 100$✓

$\frac{290\ 269}{775\ 000}$✓ × 100✓

= 37,45%✓ (4)

4.5.2
- The business is experiencing a decline in net profit as compared to last year.
- Possible reasons could be that the:
  - Expenses has increased
  - Sales has decreased
  - Other income has decreased

(Any relevant answer) (Any 2 × 2) (4)

4.5.3 775 000✓ – 310 000✓ = R465 000✓ (3)

4.5.4 42 598✓ x 110%✓ = R46 857.80✓ (3)

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4.6 4.6.1 2✓ x 22✓= 44 suits (2)

4.6.2 5✓ x 22 ✓x R800✓ = R88 000 (3)

4.7 4.7.1 Total assets : Total liabilities✓

431 250✓/(75 000✓ + 45 000✓)

= 3.59 : 1✓ (5)

4.7.2
- The business is solvent.
- The business' assets cover its liabilities 3.59 times
- For every R1 worth of liabilities that the business has, it has R3.59 worth of assets. (Any relevant 1 × 2) (2)

**[40]**

## QUESTION 5

5.1
- Personal details
- Bank account details
- Address details
- Income details, foreign income, capital gain
- Income from royalty (Any relevant 2 × 2) (2)

5.2 Capital allowance is a means of saving tax✓ when a business buys a capital asset✓. (Or similar)(1 × 2) (2)

5.3
- To allow the government to have funds available for smooth running.
- To make funds available for services to be rendered to citizens. (2)

5.4 5.4.1 Tax-deductible✓ – an expense incurred in the normal operations of the business✓

5.4.2 Not tax-deductible✓ – the expense is incurred in the private capacity of the owner not for business purposes✓

5.4.3 Not tax-deductible✓ – a capital allowance can be claimed on the machine but not the entire purchase price in one year✓

5.4.4 Tax-deductible✓ – a capital allowance can be claimed on the machine as it is a capital asset✓

5.4.5 Tax-deductible✓ – legal fees incurred in the normal course of business✓

5.4.6 Tax-deductible✓ – SARS allows auditing fees incurred for the business✓

(6 × 2) (12)

5.5
- E-filing
- Personally at SARS offices (2)

5.6 Tax evasion:
- Is illegal and has to do with submitting a false tax return
- Failing to reveal all income and correct information in a return (2)

Tax avoidance:
- Is minimising of taxes using legal methods
- Organising your financial affairs in a legal manner to reduce your taxable profits (Or similar)(2 × 1) (2)

5.7 5.7.1

| | | |
|---|---|---|
| Annual taxable income | R15 000✓ x 12✓ | R180 000 |
| Tax according to the tables | R180 000✓ x 18%✓ | R32 400 |
| Less: Primary rebate | | (R13 500) ✓ |
| Taxable payable | | R18 900✓ |

(6)

5.7.2

| | | |
|---|---|---|
| Annual taxable income | | R290 000✓ |
| Tax according to the tables | | 60 360✓ |
| • 26%✓ of (R290 000✓ – R188 000✓) | R26 520 | |
| • Fixed amount | 33 840✓ | |
| Less: Rebates | | (20 907) ✓ |
| • Primary | (R13 500) ✓ | |
| • Secondary | (R7 407) ✓ | |
| Taxable payable | | R39 453 ✓ |

(10)
**[40]**

**TOTAL SECTION B: 165**

**GRAND TOTAL: 200**

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